

letic shoe. You have a far better chance of figuring out when to get out of that stock than you do of calling market turns. Your focus, then, should be on one stock at a time, or one group of stocks. That's what you hope your mutual fund manager is good at—not calling the next 100 points up or down.

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No soothsayer should be able to look at another without laughing.

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Any stock can sell at a high or low price relative to its "true value," assuming there is such a thing as a central or true value, an article of faith that all certified financial analysts are expected to uphold—though no one has ever seen it. You will see a central value about the time you see an angel. But I still believe it's easier to get a handle on when a stock gets overdone than when the market as a whole has become too pricey.

My philosophy is just to keep looking at our stocks, one by one. If one we own seems more attractive than the others, then we put more money into it. If it's less attractive, we sell it and put the money into other names. New candidates for purchase are evaluated the same way. It's laborious and, as I've noted, not particularly glamorous. But it's a doable job. And it works.

If you don't find enough attractive stocks, the cash accumulates, as a residual. That's very different from the operation of the market timer, who says, "I want to have 32 percent cash by the end of the week, and I will sell stocks to make that happen." When you look at stocks one at a time, the cash is just what's left over at the end of the day, and you don't worry about it too much. That, I think, makes a lot more sense than scrutinizing entrails.